CASCADIA ANALYTICS

Iron Mountain Incorporated

Equity Research Note | IRM | 22 OCTOBER 2026

Digital pivot inflecting

Iron Mountain Inc. screens as a Buy with a $125.54 blended target, 14% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$110.50	$125.54	+14%	BUY

Investment Thesis

Digital pivot inflecting. Growth businesses grew over 50% YoY in Q2 and are now about 35% of revenue, with 110 MW leased year to date. FY2026 AFFO guidance of $5.90 per share (+14%) covers the 3.1% dividend at a 62% payout ratio, and the market implies only about 3.1% five-year AFFO growth against our 6.5% base case.

- Digital pivot inflecting
- REIT cash machine funds the build
- Market prices the melting ice cube

The latest print

REIT cash machine funds the build. The 98% retention physical storage monopoly throws off inflation-protected cash that funds data center capex without excessive dilution. FY2026 AFFO guidance of $5.90 per share (+14%) covers the 3.1% dividend at a 62% payout ratio.

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Market prices the melting ice cube. The reverse DCF shows the market implies only about 3.1% five-year AFFO growth, below our 6.5% base case. Our AFFO-based DCF values the base case at $127.24, implying +15% upside from $110.50.

$7.98B	$2.96B	$5.90	110 MW	3.1%	4.8x
REVENUE (FY26E GUIDE)	ADJ EBITDA (FY26E GUIDE)	AFFO PER SHARE (FY26E GUIDE)	DATA CENTER LEASING YTD	DIVIDEND YIELD	NET LEASE ADJ. LEVERAGE

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (FY26E guide)	$7.98B	+16% YoY at midpoint	Up
Adj EBITDA (FY26E guide)	$2.96B	37.1% margin	Up
AFFO per share (FY26E guide)	$5.90	+14% YoY	Up
Data center leasing YTD	110 MW	75 MW signed in July alone	Up
Dividend yield	3.1%	$3.46 annualized, ~62% of AFFO	Stable
Net lease adj. leverage	4.8x	Lowest since 2014 REIT conversion	Down

The moat

Monopoly-grade physical storage: 98% retention rates on records management, an inflation-protected cash cow that funds data center expansion without excessive dilution.

The growth engine

Regulatory moratoriums act as a CAPEX moat; IRM marks new capacity to market at premium rates from a smaller base than DLR or EQIX, disproportionately boosting margins.

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

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SCENARIO	WEIGHT	2027–31 CAGR	2031 REVENUE	2031 EBITDA MARGIN	TARGET	UPSIDE
Bear	25%	3.0%	$9.24B	35.5%	**$95.48**	-14%
Base	50%	6.5%	$10.93B	38.6%	**$127.24**	+15%
Bull	25%	9.5%	$12.55B	40.0%	**$152.21**	+38%

Bear: downside case at $95.48 (-14%).

Base: central case at $127.24 (+15%).

Bull: upside case at $152.21 (+38%).

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The probability-blended target implies 14% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +14% from the $110.50 reference price.

$125.54
BLENDED TARGET

The valuation uses a multi-year REIT AFFO DCF. Adjusted funds from operations are cash flow to equity: adjusted EBITDA less cash interest, recurring capex and cash taxes. AFFO is discounted at the live CAPM cost of equity, with beta decaying from 1.19 to a 0.90 mature REIT beta, and values equity directly; net debt is shown for reference and is not subtracted from the AFFO stream.

Net debt is $17.14B (total debt $17.35B less cash $205M) at Q2 2026, excluding operating lease liabilities. Terminal value is a Gordon perpetuity on terminal-year AFFO at 2.5% growth. Targets are divided by diluted shares of 299.8M (Q2 2026 weighted diluted share count).

Valuation horizon	**2027-2031**
Live WACC	**9.39%**
Terminal growth	**2.5%**
Net debt	**$17.14B**
2031 FCF (Base)	**$2.57B**
10-year Treasury yield	**5.0%**
Beta	**1.19**
Equity risk premium	**3.7%**

BUY | $125.54 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 3.1%, between Bear (3%) and Base (6.5%) — cautious.

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price
-10%	$18.3B	$60.91	+10%	$44.6B	$148.65
-9%	$19.2B	$63.88	+11%	$46.5B	$154.94
-8%	$20.1B	$66.97	+12%	$48.4B	$161.45
-7%	$21.0B	$70.19	+13%	$50.4B	$168.19
-6%	$22.0B	$73.54	+14%	$52.5B	$175.15
-5%	$23.1B	$77.02	+15%	$54.7B	$182.36
-4%	$24.2B	$80.64	+16%	$56.9B	$189.81
-3%	$25.3B	$84.41	+17%	$59.2B	$197.51
-2%	$26.5B	$88.33	+18%	$61.6B	$205.47
-1%	$27.7B	$92.40	+19%	$64.1B	$213.69
+0%	$29.0B	$96.63	+20%	$66.6B	$222.18
+1%	$30.3B	$101.02			
+2%	$31.7B	$105.57			
+3%	**$33.1B**	**$110.30**			
+4%	$34.5B	$115.21			
+5%	$36.1B	$120.30			
+6%	$37.7B	$125.57			
+7%	$39.3B	$131.04			
+8%	$41.0B	$136.70			
+9%	$42.7B	$142.57			

Terminal value share and terminal WACC

We disclose how much of each scenario value sits in the terminal year. Terminal value is 77.6% of Base equity value (Bear 76.0%, Bull 79.0%). The terminal WACC is 8.31% in Base (Bear 8.31%, Bull 8.31%), on a terminal beta of 0.90 (Bear 0.90, Bull 0.90).

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$95.48	$104.45	$108.14	$112.00	$116.03	$120.24
Base	$127.24	$139.19	$145.32	$151.47	$157.61	$163.69
Bull	$152.21	$166.50	$175.00	$183.38	$191.50	$199.28

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $125.54 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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The franchise deep dive

Monopoly-grade physical storage: 98% retention rates on records management, an inflation-protected cash cow that funds data center expansion without excessive dilution.

Regulatory moratoriums act as a CAPEX moat; IRM marks new capacity to market at premium rates from a smaller base than DLR or EQIX, disproportionately boosting margins.

Cross-selling 240,000+ customers across 61 countries (about 95% of the Fortune 1000) from physical storage into digital and ALM services.

Tuck-in M&A (recent Groupe ATF close) plus operational transformation including AI to drive further margin and revenue upside.

Revenue and margin trend

METRIC	FY24	FY25	FY26E
Revenue ($B)	6.15	6.90	7.98
Revenue growth %	n/a	12%	16%
Adj EBITDA ($B)	2.24	2.57	2.96
Adj EBITDA margin %	36.4%	37.3%	37.1%
AFFO ($B)	1.35	1.54	1.77
AFFO per share ($)	4.54	5.17	5.90
Dividend annualized ($)	3.14	3.22	3.46

Valuation cross-check

DCF Base $127.24

DCF Blended $125.54

P/AFFO (FY26E) 19.1x

Dividend yield 3.1%

DCF implies +15% upside at $110.50. 19x forward AFFO is full but defensible for 14-15% AFFO growth; the yield is safe at a 62% payout.

Data center REIT comps (DLR, EQIX)

Peer AFFO multiples under review

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IRM trades at a hybrid multiple reflecting its storage mix; pure data center REITs command premiums IRM could grow into as digital scales.

AFFO per share: $4.54 (FY24) to $5.90 (FY26E)

Adj EBITDA margin: 36.4% to 37.1%

Consistent mid-teens AFFO growth with stable margins; the multiple has room to expand as the digital mix rises.

What to monitor

Nov 5, 2026. Q3 2026 earnings. Data center MW leasing momentum (75 MW signed in July alone) and progress on the 325 MW energization pipeline in focus.

Ongoing. Data center leasing announcements; scarcity pricing on newly stabilized digital assets as moratoriums constrain competing supply.

FY27. Energization of ~325 MW of data center capacity over 24 months; mix shift toward digital should structurally expand the blended EBITDA margin.

Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2021	$4.5B	—	$854M	—
2022	$5.1B	$2.9B	$1.0B	$1.9B
2023	$5.5B	$3.1B	$1.1B	$1.6B
2024	$6.1B	$3.5B	$1.2B	$1.9B
2025	$6.9B	$3.8B	$1.4B	$2.1B

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Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2021	$14.5B	—	$856M	$256M
2022	$16.1B	$15.4B	$732M	$142M
2023	$17.5B	$17.1B	$390M	$223M
2024	$18.7B	$18.9B	$-227M	$156M
2025	$21.1B	$21.8B	$-645M	$159M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2021	$759M	$-611M	$-221M	$148M
2022	$928M	$-884M	$639M	$44M
2023	$1.1B	$-1.3B	$426M	$-232M
2024	$1.2B	$-1.9B	$877M	$-657M
2025	$1.3B	$-2.3B	$1.3B	$-1.0B

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $125.54 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

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Agency risk score 42 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 0.88% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $35.50M of sales, a net flow of -$35.50M. One-year total shareholder return is +10.4% against CEO total pay of $3.55M (Mr. William L. Meaney BSc, MEng, MSIA), which the model scores as STANDARD CORPORATE.

42
AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	8 / 40	0.88% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $35.50M (17), net -$35.50M, trailing six months
Pay-for-Performance	20 / 30	STANDARD CORPORATE: Market Standard Corporate Governance. 1Y TSR +10.4%; Mr. William L. Meaney BSc, MEng, MSIA, President, CEO & Director, total pay $3.55M
Agency Risk Score	**42 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-10-01	Meaney William L	Chief Executive Officer	SELL	38,474	$4.25M
2026-10-01	Mcintosh Greg W	Officer	SELL	5,000	$553.6K
2026-09-01	Meaney William L	Chief Executive Officer	SELL	38,474	$4.39M
2026-09-01	Kidd Mark	Officer	SELL	6,000	$693.6K
2026-09-01	Mcintosh Greg W	Officer	SELL	5,000	$578.0K
2026-08-07	Meaney William L	Chief Executive Officer	SELL	38,474	$4.68M
2026-08-07	Kidd Mark	Officer	SELL	6,000	$736.2K
2026-08-06	Mcintosh Greg W	Officer	SELL	11,839	$1.51M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 22 October 2026 for this note.

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The bear case

Leverage and rate sensitivity

Total debt of $17.35B against a $33.5B market cap. As a REIT, the valuation is sensitive to the 10-year yield (5.10%); sustained high rates raise refinancing costs and compress the AFFO multiple.

Data center execution risk

Roughly 325 MW of data center capacity must be energized over 24 months, with $553M of growth capex spent in Q2 alone. Delays, cost overruns, or weak lease-up would hit both growth and margins.

Insider selling

CEO William Meaney sold 38,474 shares on October 1 (about $4.25M, a 50% reduction in his position) and EVP Greg Mcintosh sold 5,000 shares. Both were 10b5-1 planned sales, but the CEO halving his stake warrants attention.

Legacy storage decline

Physical records storage faces long-run secular decline; the thesis depends on 98% retention holding and the digital businesses scaling fast enough to more than offset any legacy erosion.

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The strengths

Operating Quality

Monopoly-like physical storage (98% retention) generates inflation-protected cash that funds the data center build. 37%+ adjusted EBITDA margins with net lease leverage at 4.8x, the lowest since the 2014 REIT conversion. GAAP earnings are depressed by depreciation and are not meaningful for a REIT; AFFO is the true cash metric.

Recent Trend

Three consecutive quarterly beats (Q4 2025, Q1 and Q2 2026). Q2 revenue +18.5% YoY to $2.03B, AFFO per share +16% to $1.44. Growth businesses (data center, digital, ALM) collectively grew over 50% and now represent about 35% of revenue, up 750 bps YoY.

Forward Growth

Guidance raised across revenue, EBITDA, and AFFO in August. 110 MW leased year to date with 75 MW signed in July alone, and roughly 325 MW to be energized over 24 months. The digital mix shift should structurally accelerate the blended growth rate and margin.

Valuation

DCF base $127.24 vs $110.50 spot implies +15% upside. At 19.1x FY2026E AFFO of $5.90 the multiple is full but fair for a 15% AFFO grower; the 3.1% dividend yield is covered at a 62% payout. Street consensus sits higher at $139.83 (Moderate Buy).

Cascadia scorecard

Composite score 72: Attractive. Confidence High, as of 2026-10-18.

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PILLAR	RATIONALE	SCORE
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Catalysts & Risk	Near-term catalysts in Q3 earnings and continued MW leasing. Key risks are the $17.35B debt load ($17.14B net of cash) and REIT rate sensitivity, heavy data center growth capex, and notable insider selling (CEO sold half his position October 1, albeit under a 10b5-1 plan).	62

Investment view

A slowdown in MW leasing or a pause in the 325 MW energization pipeline would cut the growth case and the target. Sustained 50%+ growth-business momentum with EBITDA margins pushing toward 40% would support the Bull case and a rerating toward pure data center REIT multiples.

Investment view: Buy. The $125.54 blended target implies +14%, balancing the $95.48 / $127.24 / $152.21 Bear / Base / Bull outcomes.

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